

DraftKings Inc.

DKNG | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$27.00
Current price (October 2, 2026 close)	\$18.59
Implied upside / downside	+45%
Verdict	BUY

Investment Thesis

DraftKings has fallen 39% in 2026 and now trades at \$18.59 — pricing in the obituary of the American sportsbook at the hands of prediction markets. That obituary is premature. The core business — online sports betting and iGaming in licensed states — is on track to generate roughly \$1 billion of adjusted EBITDA in 2026, sportsbook handle was growing 15% year over year as the NFL season kicked off, and the structural economics of mature-state sports betting keep improving as promotional intensity fades and hold percentages rise. The market has confused a real competitive question (what do Kalshi and Polymarket mean for the industry?) with a settled negative answer, and the resulting multiple prices the core franchise as though it is already in decline.

Our judgment is that prediction markets are a threat to be managed, not a death sentence — and DraftKings is managing it better than the stock price suggests. In June 2026 the company launched DKeX, its own prediction-market exchange, which has since expanded to 48 states and — while still early — is capturing double-digit share in the markets where it participates, according to management. That footprint matters enormously: prediction markets operate nationally under federal derivatives oversight, which means DraftKings can now acquire customers in states where sports betting remains illegal — California, Texas, Florida — and cross-sell them if and when those states legalize. The market values DKeX at zero; we see a free call option on the industry's fastest-growing segment, held by the operator with the best customer-acquisition machine in the business.

The third leg is the legalization runway, which remains the most underappreciated source of compounding in the name. iGaming — far more profitable per user than sports betting — is legal in only a handful of states, and each new state that legalizes online casino is a step-change in DraftKings' earnings power. Sports betting still has large holdouts. Every year that passes without legalization is a year of deferred, not destroyed, value — and the prediction-market dynamic may actually accelerate the process by forcing states to confront the revenue they are leaving on the table.

Our \$27.00 fair value requires no heroics on prediction markets: it values the core sportsbook and iGaming business on its march toward mature-state margins, treats DKeX as a modest positive rather than the savior, and credits the legalization pipeline at a discount. The bear case — in which prediction markets structurally cannibalize the sportsbook and regulators pile on — sits below today's price, and we respect it; regulatory headlines have driven much of this year's decline. But at \$18.59, the market is asking us to believe the bear case is the base case. The operating data says otherwise.

Business Overview

DraftKings Inc., headquartered in Boston, is one of the two dominant online sports betting operators in the United States alongside FanDuel, with a growing iGaming (online casino) business in states where it is legal. The company operates mobile sportsbooks in the majority of legal-betting states, digital casino products, the Jackpocket digital lottery courier acquired in 2024, and — since June 2026 — the DKeX prediction-market exchange, now live in 48 states. DraftKings also operates in Ontario and has exposure to international markets.

The economics of the core business follow a well-understood maturation curve. New states lose money initially as operators spend heavily on promotions and customer acquisition; over two to four years, promotional intensity fades, the customer base seasons, hold percentages (the share of handle the operator keeps) improve with product sophistication — particularly same-game parlays — and the state flips to strong profitability. iGaming is structurally superior: higher hold, lower promotional intensity, and stickier customers. As the state mix matures and iGaming grows as a share of revenue, company-wide margins expand — the dynamic behind management's roughly \$1 billion 2026 adjusted EBITDA target.

The prediction-market landscape adds a new dimension. Kalshi and Polymarket operate sports event contracts nationally under Commodity Futures Trading Commission oversight, competing with sportsbooks on pricing — recent data showed Kalshi's implied vig below both major sportsbooks for NFL Week 1 — while DraftKings' DKeX gives it a foothold in the same structure. The regulatory backdrop is fluid: court cases over states' authority to restrict prediction markets remain unresolved, with key deadlines extending into late 2026.

Forward Outlook

Our forward view centers on a simple proposition: the sportsbook business that exists today is worth more than the market thinks, and everything else is optionality. Handle keeps growing at a mid-teens pace, the product keeps getting better at extracting hold — live betting, same-game parlays, and personalization all push in the same direction — and the promotional arms race of the land-grab years is over. As more states cross into maturity, the margin structure of the consolidated business should grind upward for years. That alone, on reasonable multiples, supports a price well above \$18.59.

On DKeX, we are deliberately measured. The early share data — roughly 3% of tracked NFL Week 1 prediction-market volume versus Kalshi's dominant share — shows how far the exchange has to go, and Kalshi's pricing advantage is real. But DKeX is months old, it leverages DraftKings' brand and its enormous existing customer base at near-zero marginal acquisition cost, and its 48-state footprint gives DraftKings something it never had: a legal product in California and Texas. Our base case assumes DKeX becomes a real but secondary business; our bull case assumes it captures a meaningful share of a large prediction-market TAM and becomes the customer-acquisition funnel for eventual sportsbook legalization in holdout states. Either way, the current price assigns it no value, which is the wrong number.

The regulatory outlook is the swing factor we watch most closely. Adverse developments — state tax increases on sports betting, restrictions on prediction markets that strand DKeX, or federal intervention — would impair the thesis, and 2026 has supplied plenty of negative headlines, from the Brazil betting ban to congressional scrutiny. Our judgment is that the direction of travel still favors the legal industry: states need the tax revenue, consumers prefer regulated products, and prohibition has never worked in gambling. But we underwrite the target with regulatory friction assumed, not regulatory clarity.

Valuation

Our valuation is a probability-weighted scenario DCF, weighted 25% bear / 50% base / 25% bull. In the base case, the core sportsbook and iGaming business grows handle and revenue at double-digit rates as states mature, adjusted EBITDA margins expand toward mature-state levels, DKeX contributes modestly, and the legalization pipeline adds states over time; we discount at 12% to reflect the speculative elements — regulatory uncertainty and the prediction-market competitive question — balanced against the demonstrated profitability of the core. The probability-weighted fair value equals our \$27.00 target.

The bear case is genuinely adverse and sits below the current price: prediction markets structurally cannibalize sportsbook handle, Kalshi's pricing advantage proves durable, states raise betting taxes, DKeX fails to gain traction, and the core business stagnates — a combination that would leave the shares worth less than \$18.59. We assign it 25% because the competitive threat is real and the regulatory path is uncertain. The bull case assumes iGaming legalization accelerates across states, DKeX scales into a major prediction-market player, and mature-state margins reach their full potential, discounted 150bp below the base rate.

A cross-check on EV-to-forward-EBITDA supports the conclusion: at \$18.59 the market capitalizes roughly \$1 billion of 2026 adjusted EBITDA — a profitable, growing number — at a multiple that implies the earnings have peaked. The operating trajectory (15% handle growth, expanding hold, maturing states) points the other way. Terminal growth is capped at 2.5% on normalized mid-cycle margins, and we do not assume prediction-market dominance in any scenario.

Key Risks

- Prediction-market competition: Kalshi and Polymarket offer better pricing on straight bets and operate nationally; structural share loss from sportsbooks is the central risk.
- Regulatory risk: unresolved court cases on prediction markets, potential state tax increases on sports betting, and federal scrutiny (including the congressional probe) could impair economics.
- Promotional competition with FanDuel and others could re-intensify, compressing margins.
- DKeX execution: the exchange is early-stage with small market share; failure to scale would strand the strategic rationale.
- Responsible-gambling and reputational risk, including scrutiny of AI-driven customer targeting, could invite restrictive regulation.
- International setbacks, such as the Brazil betting ban, demonstrate regulatory risk outside the US.

What Would Change Our Mind

- Sportsbook handle declining year over year in mature states for two consecutive quarters — evidence of structural cannibalization by prediction markets.

- Adjusted EBITDA guidance cut materially below the roughly \$1 billion 2026 target for non-regulatory reasons.
- DKeX shut down or withdrawn from major markets, eliminating the strategic option value.
- A federal or multi-state regulatory action that structurally raises the tax/fee burden on sports betting by a large margin.
- Market-share loss to FanDuel accelerating in head-to-head states, indicating competitive positioning — not just sector headwinds — is the problem.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For this business we use the 12% speculative-tier base discount to reflect regulatory uncertainty and the unresolved prediction-market competitive question; the scenario spreads capture the wide range of outcomes from cannibalization to legalization-led growth.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.